

The material re the hedge proposal has gone to Milnthorp and will go from Rob to Lavorato presumably today. Our expectation is that there will be some discussion about the term sheet, prices, and letter early next week. I would suggest that we get the Lay letters out early next week, without the reference to the hedge, because I suspect that the resolution of the hedging issue by Lavorato, et al. etc. (particularly with respect to pricing) will take another week. I would rather not have that process further delay sending Lay's letters to Harris and Wilson.

Richard Shapiro@ENRON

07/06/2001 11:32 AM

To: Aleck Dadson/TOR/ECT@ECT

cc:

Subject: Re: Draft of Lay letters to Harris and Wilson

Are you going to talk to Lavorato re: letter to Wilson ... before we proceed any further?

From: Aleck Dadson@ECT on 07/06/2001 10:44 AM EDT

To: Richard Shapiro/NA/Enron@Enron

cc:

Subject: Draft of Lay letters to Harris and Wilson

Rick, I attach drafts of letters to Harris and Wilson.

The revised letter to Harris refers to the letter that Lavorato may send re the hedge proposal. That added language will obviously have to come out if Lavo decides not to send his letter or if, by the time Lay's letter is to go, it is still uncertain whether Lavo will make his proposal. Address for copy of Wilson's letter to Purchase is Bryne Purchase, Deputy Minister, Ministry of Energy Science & Technology, Hearst Block, 4th Floor, 900 Bay Street, Toronto, Ontario, M7A 2E1; Address for copy of Wilson's letter to Judy Hubert is Judy Hubert, Assistant Deputy Minister, Energy Policy, Ministry of Energy Science & Technology, 3rd Floor, 880 Bay Street, Toronto, Ontario M7A 2C1.